NORTHWIND BANK LIMITED
DIGITAL LENDING POLICY (FICTIONAL SAMPLE, VERSION 1.4)

1. Scope. This policy applies to all loans sourced or serviced through digital lending apps (DLAs), whether operated by the Bank or by a lending service provider (LSP) engaged by it.

2. Disbursal and repayment. Loan amounts must be disbursed directly into the bank account of the borrower. Disbursal through a pass-through account or pool account of any LSP or third party is prohibited. Repayments must be made directly into the Bank’s account, without passing through any account of an LSP.

3. Key Fact Statement. Before the loan agreement is executed, the borrower must receive a Key Fact Statement (KFS) in a standard format. The KFS must state the annual percentage rate (APR), which is the all-inclusive cost of the loan, the recovery mechanism, the details of the grievance redressal officer, and the cooling-off period.

4. Cooling-off period. Borrowers may exit a digital loan during a cooling-off period by repaying the principal and the proportionate APR, without any penalty. The cooling-off period is at least three days for loans with a tenor of seven days or more, and at least one day for loans with a tenor of less than seven days.

5. Fees and charges. No fee or charge that is not mentioned in the KFS may be charged to the borrower. Fees payable to an LSP are paid by the Bank and must not be charged to the borrower directly.

6. Borrower data. Digital lending apps may collect only the data needed for the loan, with the borrower's explicit consent. Apps must not access the borrower's contacts, media files or call logs. One-time access to the camera, microphone and location is allowed only for onboarding. Borrowers may withdraw consent and ask for their data to be deleted.

7. Credit limits. A borrower's credit limit must not be increased automatically. Any increase requires the borrower's explicit consent, which must be recorded.

8. Grievance redressal. Every DLA and LSP must have a nodal grievance redressal officer whose contact details are shown in the app and on the website. Complaints must be resolved within 30 days. If a complaint is not resolved within 30 days, the borrower may escalate it to the RBI Ombudsman under the Integrated Ombudsman Scheme.

9. Recovery practices. Recovery agents must not harass or intimidate borrowers. The name and contact details of the recovery agent must be shared with the borrower before the agent contacts them. Recovery calls may be made only between 8 a.m. and 7 p.m.

10. Credit reporting. Every loan disbursed through a DLA must be reported to the credit information companies, regardless of its tenor.